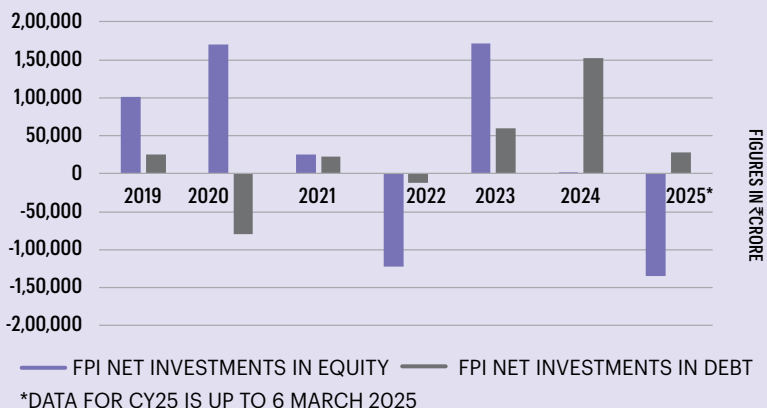


FIXED INCOME HOLDING THE GROUND

► FPIs invested over ₹1.5 lakh crore in Indian debt securities in CY24

► Indian equities saw ₹1.35 lakh crore FPI outflow in 2025 till March 6, 2025

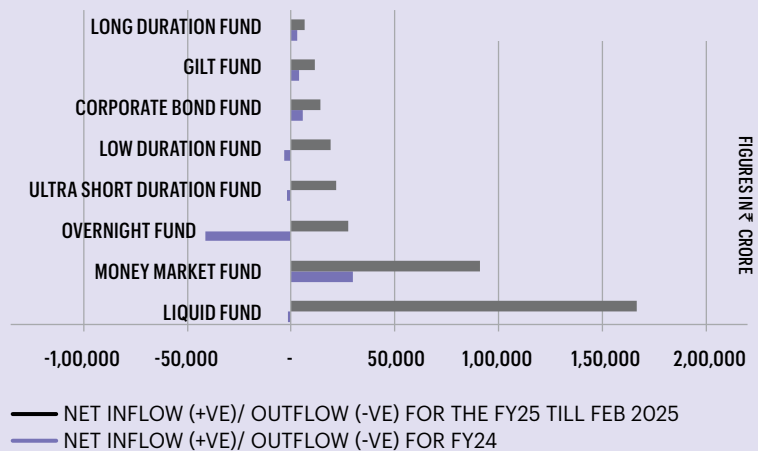


NOTE CY IS CALENDAR YEAR (FPI NET INVESTMENTS); DEBT INCLUDES DEBT-GENERAL LIMIT, DEBT-VRR, DEBT-FAR

SOURCE NSDL

NAVIGATING VOLATILITY

► Liquid funds have emerged as the biggest gainers, with inflows of ₹1.71 lakh crore in FY25



SOURCE AMFI

it did not depreciate despite FPI outflows between October and December 2024, thanks to the RBI's intervention. Besides, the current depreciation is because of the dollar's strengthening. "However, any knee-jerk and significant tariff announcements on China may have an impact on Asian currencies and central banks may want to go slow in times of elevated uncertainty," Mittal says.

TAX ADVANTAGES

Debt funds also come with tax advantages. They are taxed at marginal tax rates, but unlike fixed deposits (FDs), tax is not deducted at source on accumulated capital until it is redeemed, while in FDs tax is deducted based on accrued income. "The benefit is to the extent of tax planning for the individual, as tax is levied at the time of redemption in the fund and no TDS is collected yearly on capital accumulation which is not redeemed. However, TDS is levied on dividend income," notes Nagarajan. Meanwhile, Budget 2025 has introduced tax reforms that favour the salaried, exempting individuals earning up to ₹12 lakh from income tax. This has made debt funds an even more attractive investment option.

The deferred taxation allows investors to manage their tax liabilities more efficiently. Comparing debt mutual funds with equities, Gupta of Aditya Birla Sun Life AMC points out that in the new tax regime, debt mutual funds will get a full tax rebate if the income is less than ₹12 lakh (₹12.75 lakh including standard deduction). "This rebate will not be available in equity investments."

DEBT EDGE

Fund managers believe that debt funds will continue to provide stable returns this year, too. With the potential for additional rate cuts and improving liquidity conditions, short-term and corporate bond funds remain the top picks. The potential inclusion of India in indices like Bloomberg's Global Aggregator Index could bring more foreign investment into India's debt market.

Nagarajan of Tata AMC advises investors to focus on duration products like corporate bond funds and short-term bond funds amid expectations of another rate cut. Debt funds also prove attractive alternatives to FDs.

If interest rates continue their downward journey, long-duration debt funds could prove to be a shrewd bet. **BT**

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